

If we examine the list during the decline of 1937–1938, we shall find quite a number of once outstanding issues that sold at surprisingly low prices in relation to their statistical exhibits.

Example: A startling example of this sort is provided by Great Atlantic and Pacific Tea Company common, which in 1929 sold as high as 494 and in 1938 as low as 36. Salient data on this issue are as follows:

Year ¹	Sales (000 omitted)	Net (000 omitted)	Earned per share of common	Dividend paid on common	Price range of common
1938	\$ 878,972	\$15,834	\$ 6.71	\$4.00	72–36
1937	881,703	9,119	3.50	6.25	117 ¹ / ₂ –45 ¹ / ₄
1936	907,371	17,085	7.31	7.00	130 ¹ / ₂ –110 ¹ / ₂
1935	872,244	16,593	7.08	7.00	140–121
1934	842,016	16,709	7.13	7.00	150–122
1933	819,617	20,478	8.94	7.00	181 ¹ / ₂ –115
1932	863,048	22,733	10.02	7.00	168–103 ¹ / ₂
1931	1,008,325	29,793	13.40	6.50	260–130
1930	1,065,807	30,743	13.86	5.25	260–155
1929	1,053,693	26,220	11.77	4.50	494–162

¹ Year ended following Jan. 31, except price range.

The balance sheet of January 31, 1938, showed cash assets of 85 millions and net current assets of 134 millions. At the 1938 low prices, the preferred and common together were selling for 126 millions. Here, then, was a company whose spectacular growth was one of the great romances of American business, a company that was without doubt the largest retail enterprise in America and perhaps in the world, that had an uninterrupted record of earnings and dividends for many years—and yet was selling for less than its net current assets alone. Thus one of the outstanding businesses of the country was considered by Wall Street in 1938 to be worth less as a going concern than if it were liquidated. Why? First, because of chain-store tax threats; second, because of a recent decline in earnings; and, third, because the general market was depressed.

We doubt that a better illustration can be found of the real nature of the stock market, which does not aim to evaluate businesses with any exactitude but rather to express its likes and dislikes, its hopes and fears,